BofA SECURITIES

ASE Technology Holding

3Q26 sales outperformance affirms solid transformation progress

Reiterate Rating: BUY | PO: 900.00 TWD | Price: 762.00 TWD

3Q26 sales beat on LEAP ramp and mature ASP strength

ASE reported 3Q26 sales +28% QoQ better than its guide, driven by stronger IC ATM (+20% QoQ vs. BofAe +13% QoQ) and mild upside in EMS (+42% QoQ vs. BofAe +40% QoQ). We believe IC ATM strength is led by modest mainstream packaging and testing price hike on industry supply tightness, supplemented by LEAP business ramp. EMS also benefited from Apple product seasonal builds and higher component cost pass through. With improving packaging and testing utilization and ASP and rising LEAP mix, we expect its IC ATM GMs to improve 300bps QoQ to 30% (vs. high-20% guide) though consolidated GMs (+180bps QoQ to 23%) could be partially offset by EMS outgrowth.

AI pipeline diversification anchors capex plan in '26-28

We model ASE's 4Q26 IC ATM sales +7-9% QoQ as its LEAP opportunity diversifying from TSMC outsourcing to direct project wins including AMD's Venice CPU, putting sales on track to +42% YoY in '26 (vs. its +35% guide). Its IC ATM GMs could further expand to 31% as LEAP reaching 30% of its sales (vs. 18%/22% in 1H/3Q26). While we expect ASE to spend US$13bn+ annual capex in '27-28 (vs. US$10.5bn in '26), the accelerating IC ATM sales (BofAe +40% CAGR from '26-28) on advanced expansion and mature price uplift, along with the business mix upgrade to cloud AI/HPC projects carrying 35-45% GMs should offset hiking depreciation (BofAe +39% CAGR from '26-28), lifting its IC ATM GM from 29% in '26 to low 30% in '27 and mid 30% in '28 with operating leverage.

Stronger earnings quality unlocks re-rating potential

We lift our '26/27/28E EPS to NT$20/NT$34/NT$50 on strong LEAP outlook. Keep Buy rating and raise POs from NT$800 (US$51) to NT$900 (US$58) still on 20x 2H27-1H28 P/E (vs. its 5-26x range) backed by its structural business transformation with better sales and GMs growth profile as the industry supply further consolidates amid higher tech entry barrier.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	36,902	43,283	90,393	156,574	226,147
EPS	7.70	9.30	19.64	34.26	49.78
EPS Change (YoY)	4.0%	20.8%	111.1%	74.5%	45.3%
Consensus EPS (Visible Alpha)			18.46	28.72	38.80
Dividend / Share	5.30	5.70	12.20	21.50	31.20
Free Cash Flow / Share	2.61	(5.16)	(36.00)	(43.18)	(10.66)
ADR EPS (US$)	0.480	0.597	1.23	2.15	3.12
ADR Dividend / Share (US$)	0.330	0.366	0.764	1.35	1.95
Valuation (Dec)					
P/E	98.95x	81.93x	38.80x	22.24x	15.31x
Dividend Yield	0.696%	0.748%	1.60%	2.82%	4.09%
EV / EBITDA*	38.92x	32.62x	19.93x	11.45x	8.12x
Free Cash Flow Yield*	0.331%	-0.657%	-4.64%	-5.58%	-1.38%

* For full definitions of *iQmethod℠* measures, see page 7.

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Refer to important disclosures on page 8 to 11. Analyst Certification on page 5. Price Objective Basis/Risk on page 5.
13027253

13 October 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	800.00	900.00
2026E EPS	18.13	19.64
2027E EPS	30.90	34.26
2028E EPS	45.30	49.78
2026E EBITDA (m)	184,814.6	193,427.9
2027E EBITDA (m)	317,549.5	336,641.2
2028E EBITDA (m)	449,629.5	474,983.2

Haas Liu >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3727
haas.liu@bofa.com

Mike Yang >>
Research Analyst
Merrill Lynch (Taiwan)
mike.c.yang@bofa.com

Cathy Hsu >>
Research Analyst
Merrill Lynch (Taiwan)
cathy.hsu3@bofa.com

Stock Data

Price (Common / ADR)	762.00 TWD / 46.43 USD
Price Objective	900.00 TWD / 58.00 USD
Date Established	13-Oct-2026 / 13-Oct-2026
Investment Opinion	C-1-7 / C-1-7
52-Week Range	168.50 TWD-765.00 TWD
Market Value (mn)	106,687 USD
Market Value (mn)	3,406,576 TWD
Shares Outstanding (mn)	4,470.6 / 2,235.3
Average Daily Value (mn)	393.20 USD
Free Float	79.1%
BofA Ticker / Exchange	XSRIF / TAI
BofA Ticker / Exchange	ASX / NYS
Bloomberg / Reuters	3711 TT / 3711.TW
ROE (2026E)	21.8%
Net Dbt to Eqty (Dec-2025A)	41.5%

*iQ*profile℠ ASE Technology Holding

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	595,410	645,388	864,425	1,151,475	1,422,419
Gross Profit	96,997	114,193	190,153	314,081	429,925
Sell General & Admin Expense	(28,935)	(30,586)	(38,450)	(46,743)	(52,992)
Operating Profit	39,232	50,756	107,198	211,750	312,116
Net Interest & Other Income	2,588	545	3,412	(16,792)	(29,302)
Associates	NA	NA	NA	NA	NA
Pretax Income	41,820	51,301	110,610	194,958	282,814
Tax (expense) / Benefit	(7,756)	(9,460)	(20,502)	(36,664)	(52,837)
Net Income (Adjusted)	36,902	43,283	90,393	156,574	226,147
Average Fully Diluted Shares Outstanding	4,333	4,462	4,506	4,506	4,506
Key Cash Flow Statement Data					
Net Income	32,620	40,658	87,857	154,368	224,274
Depreciation & Amortization	59,815	67,440	86,230	124,891	162,867
Change in Working Capital	(3,706)	(9,449)	(25,495)	(42,718)	(36,340)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	2,058	43,600	27,147	0	0
Cash Flow from Operations	90,788	142,249	175,738	236,541	350,802
Capital Expenditure	(79,522)	(164,643)	(333,900)	(426,600)	(397,800)
(Acquisition) / Disposal of Investments	1	(1,971)	4,511	1,719	(178)
Other Cash Inflow / (Outflow)	(4,387)	969	(12,022)	0	0
Cash Flow from Investing	(83,909)	(165,644)	(341,411)	(424,881)	(397,978)
Shares Issue / (Repurchase)	1,103	3,480	2,203	0	0
Cost of Dividends Paid	(22,459)	(23,034)	(25,208)	(54,471)	(95,708)
Cash Flow from Financing	(7,271)	45,269	89,859	180,698	80,876
Free Cash Flow	11,266	(22,393)	(158,162)	(190,059)	(46,998)
Net Debt	109,225	155,020	333,215	577,745	720,452
Change in Net Debt	20,146	61,690	195,130	242,811	142,885
Key Balance Sheet Data					
Property, Plant & Equipment	312,531	421,115	699,889	1,063,727	1,384,481
Other Non-Current Assets	152,881	154,423	202,546	224,320	250,667
Trade Receivables	113,420	125,042	155,261	210,110	255,747
Cash & Equivalents	84,883	100,223	38,298	28,937	62,815
Other Current Assets	76,982	88,530	101,726	118,340	132,949
Total Assets	740,698	889,333	1,197,720	1,645,435	2,086,659
Long-Term Debt	140,237	214,510	304,588	544,588	724,588
Other Non-Current Liabilities	23,735	57,108	90,750	90,750	90,750
Short-Term Debt	53,872	40,734	66,926	62,094	58,678
Other Current Liabilities	177,068	203,615	222,390	250,739	266,697
Total Liabilities	394,911	515,966	684,654	948,171	1,140,713
Total Equity	345,787	373,368	513,066	697,263	945,946
Total Equity & Liabilities	740,698	889,333	1,197,720	1,645,435	2,086,659
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	6.2%	6.9%	10.7%	14.6%	15.9%
Return On Equity	11.9%	12.9%	21.8%	27.2%	28.6%
Operating Margin	6.6%	7.9%	12.4%	18.4%	21.9%
EBITDA Margin	16.6%	18.3%	22.4%	29.2%	33.4%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	2.5x	3.3x	1.9x	1.5x	1.6x
Asset Replacement Ratio	1.4x	2.6x	4.0x	3.5x	2.5x
Tax Rate (Reported)	18.5%	18.4%	18.5%	18.8%	18.7%
Net Debt-to-Equity Ratio	31.6%	41.5%	64.9%	82.9%	76.2%
Interest Cover	5.8x	6.8x	8.7x	8.9x	9.4x

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Semiconductors

Company Description

Established in 1984 and headquartered in Taiwan, ASE Technology Holding is the no.1 outsourced assembly and testing (OSAT) firm globally, in terms of market share by revenue. ASE acquired Siliconware Precision (SPIL) in 2018, and had acquired USI in 2010, which became its EMS business segment providing synergies in system-level packaging. 2 shares = 1 ADR.

Investment Rationale

We rate ASE Buy, factoring in the company's opportunity in advanced packaging and testing evidenced in TSMC's outsourcing and its own heavy capex investment. The strategy shift should allow the company to capture fast growing addressable market in high performance computing applications and improves its margins. ASE could maintain its leading position in the Outsourced Semiconductor Assembly and Test (OSAT) universe, owing to its well-established footprints and widespread service offerings.

Stock Data

Shares / ADR	2.00
Price to Book Value	7.1x

Key Changes

(US$)	Previous	Current
Price Obj.	51.00	58.00
2026E EPS	1.14	1.23
2027E EPS	1.94	2.15
2028E EPS	2.84	3.12

Focus charts and tables

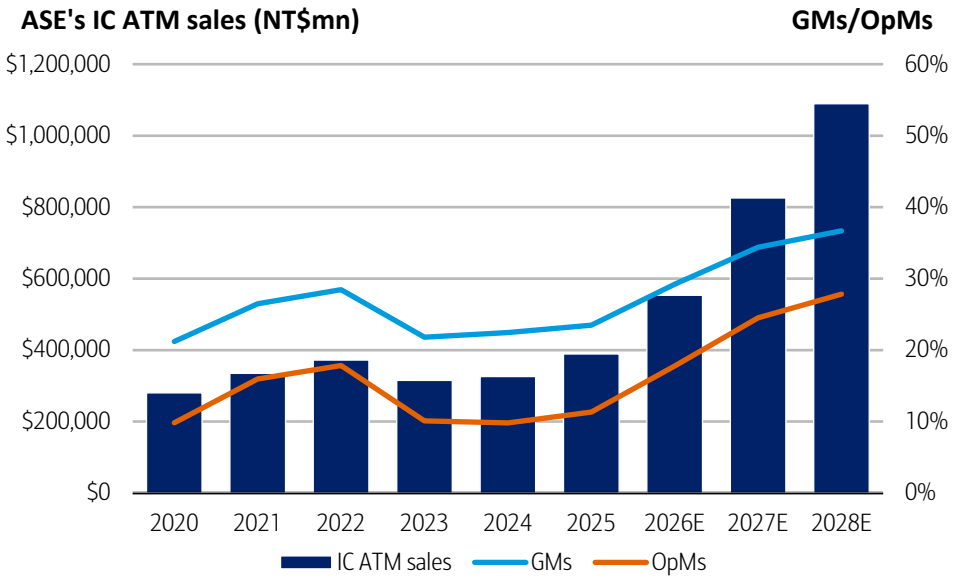
Exhibit 1: ASE 3Q26-4Q26 and 2026-27 estimates BofAe vs. Street
We model 2026/27 EPS of NT$19.64/34.26

	3Q26E			4Q26E			2026E			2027E		
	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street
Sales (NT$mn)	$243,060	$233,274	$233,027	$256,640	$248,543	$241,478	$864,425	$846,543	$837,179	$1,151,475	$1,089,719	$1,043,653
Sales QoQ / YoY (%)	27.2%	22.1%	22.0%	5.6%	6.5%	3.6%	33.9%	31.2%	29.7%	33.2%	28.7%	24.7%
Gross profit (NT$mn)	$55,346	$49,494	$49,292	$59,808	$55,424	$53,676	$190,153	$179,917	$177,390	$314,081	$290,641	$247,335
GMs (%)	22.8%	21.2%	21.2%	23.3%	22.3%	22.2%	22.0%	21.3%	21.2%	27.3%	26.7%	23.7%
Operating profit (NT$mn)	$32,597	$27,638	$28,074	$35,935	$32,281	$31,848	$107,198	$98,585	$98,311	$211,750	$192,658	$155,971
OpMs (%)	13.4%	11.8%	12.0%	14.0%	13.0%	13.2%	12.4%	11.6%	11.7%	18.4%	17.7%	14.9%
Pretax profit (NT$mn)	$31,975	$27,016	$28,489	$34,735	$31,081	$32,092	$110,610	$101,997	$103,760	$194,958	$175,866	$155,822
Pretax margins (%)	13.2%	11.6%	12.2%	13.5%	12.5%	13.3%	12.8%	12.0%	12.4%	16.9%	16.1%	14.9%
Tax expense (NT$mn)	-$6,448	-$5,448	-$5,781	-$7,621	-$6,816	-$6,437	-$22,754	-$20,949	-$20,517	-$40,590	-$36,619	-$31,011
Tax rate (%)	20.2%	20.2%	20.3%	21.9%	21.9%	20.1%	20.6%	20.5%	19.8%	20.8%	20.8%	19.9%
Net profit (NT$mn)	$25,527	$21,568	$22,709	$27,114	$24,265	$25,654	$87,857	$81,048	$83,243	$154,368	$139,247	$124,811
Net margins (%)	10.5%	9.2%	9.7%	10.6%	9.8%	10.6%	10.2%	9.6%	9.9%	13.4%	12.8%	12.0%
EPS (NT$)	$5.67	$4.79	$5.11	$6.02	$5.39	$5.76	$19.64	$18.13	$18.78	$34.26	$30.90	$28.24

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

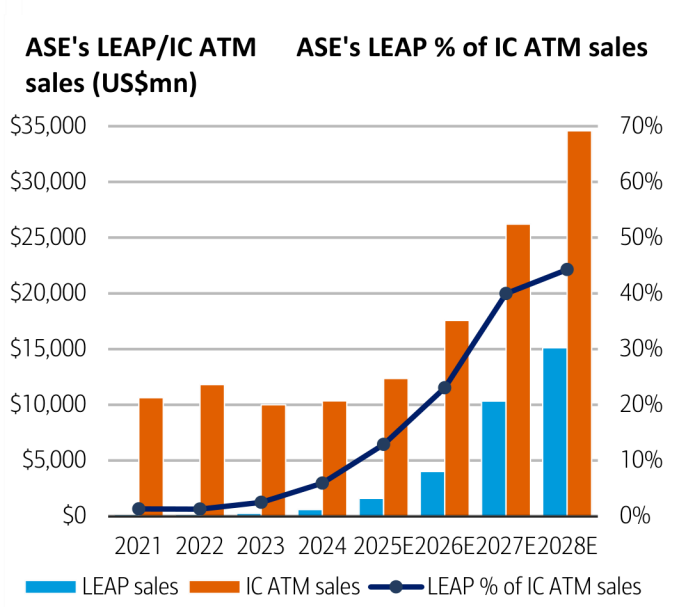
Exhibit 2: ASE IC ATM revenue and GMs/OpMs
ASE's LEAP business to drive IC ATM GM expansion to 37% in 2028



Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

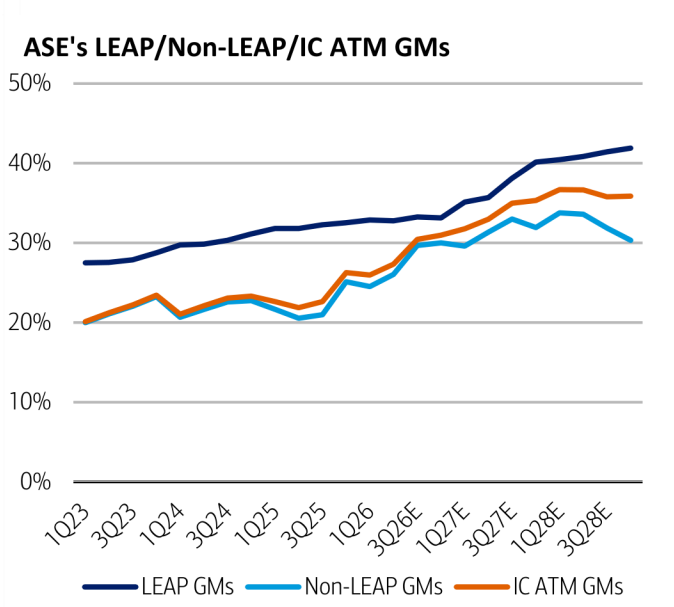
Exhibit 3: ASE LEAP/IC ATM revenue
LEAP will account for 44% of IC ATM sales in 2028



Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

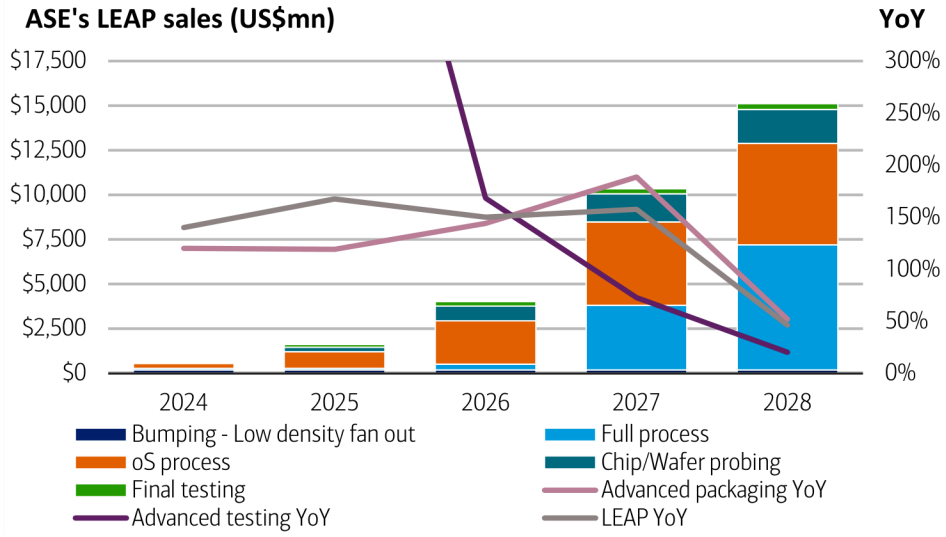
Exhibit 4: ASE LEAP/non-LEAP/IC ATM GMs
LEAP is margin accretive to IC ATM business



Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 5: ASE LEAP sales by subsegments and YoY
ASE's full process packaging will see strong ramp from 2H26



Source: BofA Global Research estimates

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Exhibit 6: Terms and definitions
Glossary of abbreviations/acronyms

Term	Definition
ASIC	Application Specific Integrated Circuit
CPU	Central Processing Unit
EMS	Electronics Manufacturing Services
FOCoS	Fan-Out Chip on Substrate
GPU	Graphic Processing Unit
IC ATM	Integrated Circuit Assembly, Testing, and Material
LEAP	Leading-Edge Advanced Packaging
oS	On Substrate

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk

ASE Technology Holding (XSRIF / ASX)
We value ASE Technology Holding at NT$900 per share (US$58 for ADR), based on 20x 2H27-1H28E P/E, above its historical range of 5-26x, in view of its solidified industry position in AI era. We use P/E ratio to value ASE as the company has been able to maintain healthy profitability through the cycles in the past 20 years due to consolidating industry landscape supporting a more benign supply/demand and keeping pricing and margins less cyclical.

Downside risks to our PO are 1) share loss and/or ASP erosion owing to Chinese players' cannibalization and/or ASE's worsening execution, 2) weakening end demand due to uncontrollable matters, such as macro halt and/or geopolitical tensions, 3) regulatory issues that could hinder ASE from generating synergies and benefit its competitors.

Analyst Certification

I, Haas Liu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMXSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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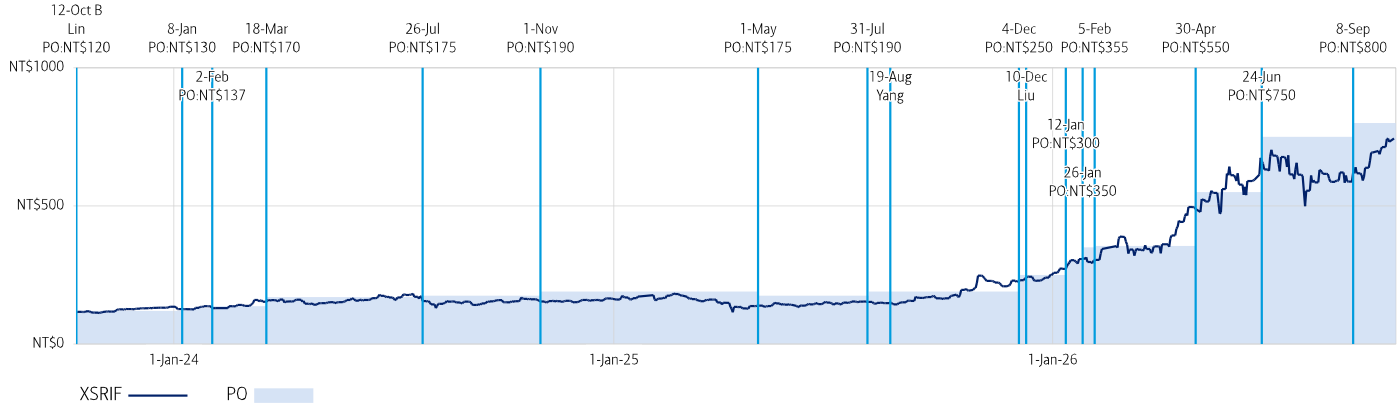
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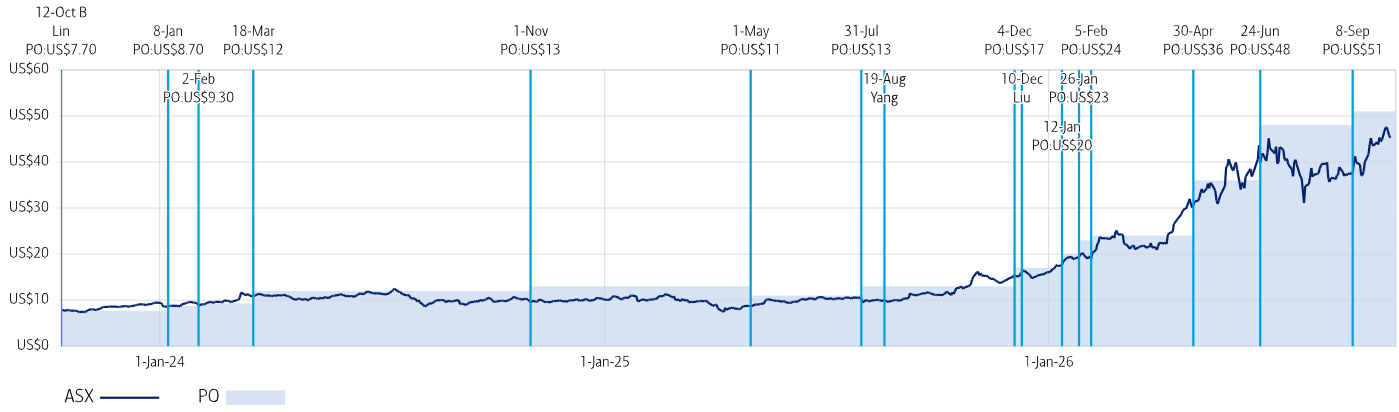
ASE Technology (XSRIF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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ASE -ADR (ASX) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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